

Vignette B4

Q1. UK's Lemon Tarts

Economic historians remember a time before the Ministry lifted barriers to exports and imports of lemon tarts. The global price was 12 galleons. However, due to the trade barriers the UK did not have access to this market for tarts. The domestic supply and demand curves for lemon tarts in the UK can be represented by the following relationships:

$$D : P = 17 - \frac{1}{6}Q_b \quad (1)$$

$$S : P = 2 + \frac{2}{3}Q_b \quad (2)$$

Use a graph and algebra to illustrate what happened to the market after the trade barrier was lifted.

Q2. Egypt's Lemon Tarts

While the supply curve is very similar to that of the UK, demand for lemon tarts is much lower in Egypt's wizarding community, leading to a domestic price below the global price. Use a graph (*but no algebra*) to illustrate what happened to the market after Egypt lifted their ban on international trade of lemon tarts.